

Mynor Corporation manufactures and sells a seasonal product that has peak sales in the third quarter. The following information concerns operations for Year 2—the coming year—and for the first two quarters of Year 3:

a. The company's single product sells for \$8 per unit. Budgeted unit sales for the next six quarters are as follows (all sales are on credit):

	Year 2 Quarter				Year 3 Quarter	
	1	2	3	4	1	2
Budgeted unit sales	40,000	60,000	100,000	50,000	70,000	80,000

b. Sales are collected in the following pattern: 75% in the quarter the sales are made, and the remaining 25% in the following quarter. On January 1, Year 2, the company's balance sheet showed \$65,000 in accounts receivable, all of which will be collected in the first quarter of the year. Bad debts are negligible and can be ignored.

c. The company desires an ending finished goods inventory at the end of each quarter equal to 30% of the budgeted unit sales for the next quarter. On December 31, Year 1, the company had 12,000 units on hand.

d. Five pounds of raw materials are required to complete one unit of product. The company requires ending raw materials inventory at the end of each quarter equal to 10% of the following quarter's production needs. On December 31, Year 1, the company had 23,000 pounds of raw materials on hand.

e. The raw material costs \$0.80 per pound. Raw material purchases are paid for in the following pattern: 60% paid in the quarter the purchases are made, and the remaining 40% paid in the following quarter. On January 1, Year 2, the company's balance sheet showed \$81,500 in accounts payable for raw material purchases, all of which will be paid for in the first quarter of the year.

Prepare the following budgets and schedules for the year, showing both quarterly and total figures:

1. A sales budget and a schedule of expected cash collections.
2. A production budget.
3. A direct materials budget and a schedule of expected cash payments for purchases of materials.

Sales Budget

Particulars	Q1	Q2	Q3	Q4	Total
Budget Unit sales	40000	60,000	100000	50000	250000
Selling price per unit	\$8	\$8	\$8	\$8	\$8
Total Sales	\$320,000	\$480,000	\$800,000	\$400,000	\$2,000,000

Schedule of Expected Cash Collection

Particulars	Q1	Q2	Q3	Q4	Total	2nd Q1
Beginning A/R	65000				65000	
Q1 sales	240000	80000			320000	
Q2 sales		360000	120000		480000	
Q3 sales			600000	200000	800000	
Q4 sales				300000	300000	
Total cash collection	305000	440000	720000	500000	1965000	

$$\begin{array}{lcl}
 \text{Beg. Inventory} = 10 \text{ Unit} & \left| & \text{Sales} = \underline{45 \text{ Units}} \\
 \text{Production} = \underline{50 \text{ Unit}} & \left| & \text{Ending} = \underline{15 \text{ Units}} \\
 & & 60
 \end{array}$$

$$\text{Beginning Inventory} + \text{Production} = \text{Sales} + \text{Ending Inventory}$$

$$\text{Production} = \text{Sales} + \text{Ending Inv.} - \text{Beg. Inv.}$$

Production Budget

Particulars	Q1	Q2	Q3	Q4	Total	Q1	Q2
Budgeted Unit Sales	40000	60000	100000	50000	250000	70000	80000
Add: By Ending Inv.	18000	30000	15000	21000	21000	24000	
Total needs	58000	90000	115000	71000	271000	94000	
Less: Beg Inv.	12000	18000	30000	15000	15000	21000	
Required Production	46000	72000	85000	56000	259000	73000	

Direct Material Budget

Particulars	Q1	Q2	Q3	Q4	Total	Q1
Required Required Production	46000	72000	85000	56000	259000	73000
Add RM per Unit	x 5	x 5	x 5	x 5	x 5	x 5
Total RM for new Production	230000	360000	425000	280000	1295000	365000
Add: Ending RM	36000	42500	28000	36500	36500	
Total RM needed	266000	402500	453000	316500	1331500	
Less: Beg RM	23000	36000	42500	28000	28000	
RM Purchase Cost per Unit	243000	366500	410500	288500	1308500	
	x 0.80	x 0.80	x 0.80	x 0.80	x 0.80	
Total Cost of RM Purchase	\$194400	\$293200	\$328400	\$230800	\$1048 1046800	

$$\begin{array}{rcl}
 \text{RM Required} + \text{Ending RM} & = & \text{Beginning RM} + \text{Purchase} \\
 \hline
 50000 & + & 10000 \\
 \hline
 60000 & & = 20000 + 40000
 \end{array}$$

$$\text{Purchase} = \text{RM Required} + \text{Ending RM} - \text{Beg. RM}$$

Schedule for Expected Cash Payments

Particulars	Q1	Q2	Q3	Q4	Total
Beg. A/P	81500				81500
Q1 Purchase	116640	77760			194400
Q2 Purchase		175920	117280		293200
Q3 Purchase			197040	131360	328400
Q4 Purchase				138480	138480
	198140	253680	314320	269840	10,35,980

Harrauld's Fish House is a family-owned restaurant that specializes in Scandinavian-style seafood. Data concerning the restaurant's monthly revenues and costs appear below (q refers to the number of meals served):

	Formula
Revenue	$\$16.50q$
Cost of ingredients	$\$6.25q$
Wages and salaries	$\$10,400$
Utilities	$\$800 + \$0.20q$
Rent	$\$2,200$
Miscellaneous	$\$600 + \$0.80q$

1. Prepare the restaurant's planning budget for April assuming that 1,800 meals are served.
2. Assume that 1,700 meals were actually served in April. Prepare a flexible budget for this level of activity.
3. The actual results for April appear below. Prepare a flexible budget performance report for the restaurant for April

Revenue	\$27,920
Cost of ingredients	\$11,110
Wages and salaries	\$10,130
Utilities	\$1,080
Rent	\$2,200
Miscellaneous	\$2,240

Planning Budget

Particulars	Amount
Revenue (16.5×1800)	295 29700
Less: Expense	
Cost of Ingredient (6.25×1800)	(11,250)
Wages & Salaries (	(10400)
Utilities ($800 + 0.2 \times 1800$)	(1160)
Rent (	(2200)
Miscellaneous ($600 + 0.89 \times 1800$)	(2040)
Net Operating Income	<u><u>2650</u></u>

Flexible Budget

Particulars	Amount
Revenue (16.5×1700)	28050
Less: Expenses	
Cost of Ingredient (6.25×1700)	(10625)
Wages & Salaries	(10400)
Utilities $(800 + 0.2 \times 1700)$	(1140)
Rent	(2200)
Miscellaneous $(600 + 0.8 \times 1700)$	(1960)
Net Operating Income	<u><u>1725</u></u>

Performance Evaluation

Particulars	(1) Actual	(1)-(2) Revenue & Expense Variance	(2) Flexible Budget	(2)-(3) Activity Variance	(3) Planning Budget
Revenue	27720	130 U	28050	1650 U	29700
Less:					
COI	(11110)	485 U	(10625)	625 F	(11250)
W&S	(10139)	270 F	(10400)	0	(10400)
Utilities	(1080)	60 F	(1140)	20 F	(1160)
Rent	(2200)	0	(2200)	0	(2200)
MISC	(2240)	280 U	(1960)	80 F	(2040)
NOI	1160	565 U	1725	925 U	2650

$$-11110 - (-10625)$$

$$= -11110 + 10625$$

$$= -485$$

$$= -10130 - (-10400)$$

$$= -10130 + 10400$$

$$= +270$$